

Notes: Alesina & Fuchs-Schundeln (AER, 2007)

Good-Bye Lenin (or Not?): The Effect of Communism on People's Preferences

Contents

1	Big picture	3
2	Incremental contribution	3
3	Data and measurement	4
3.1	Historical setting	4
3.2	Survey data and outcome variables	4
3.3	Treatment and key controls	5
3.4	Transfer and belief variables	5
4	Models and empirical specifications	5
4.1	Baseline probit specification	5
4.2	Age and cohort exposure specifications	6
4.3	Panel convergence specification	6
4.4	Household transfer and aggregate transfer specifications	6
4.5	Migration and regional specifications	6
4.6	Belief mechanism specifications	7
5	Identification and empirical design	7
5.1	Core identification argument	7
5.2	Why Germany is useful	7
5.3	Threats and responses	7
5.4	What the design cannot fully prove	8
6	Section-by-section study guide	8
7	Tables and figures	8
7.1	Table 1 – Basic Regressions and Table 2 – Regressions with Age Interacted with East	8
7.2	Figure 1 – Cohort Effects and Table 3 – Regressions with Cohorts Interacted with East	9
7.3	Table 4 – Regressions with Individuals Who Answer in Both 1997 and 2002	10
7.4	Table 5 – Regressions with Probability of Receiving a Transfer and Table 6 – Regressions with Aggregate Transfers	11
7.5	Table 7 – Regressions with Current Residence and Table 8 – Regressions with East Split into States	12
7.6	Table 9 – Regressions with Social Conditions as the Dependent Variable and Table 10 – Social Conditions as a Control Variable	12
7.7	Table 11 – Regressions with Luck as the Dependent Variable and Table 12 – Luck as a Control Variable	13

8	Result map	14
9	Short summary	15
10	Conclusion	15
10.1	Core conclusion	15
10.2	Economic intuition	15
10.3	Incremental contribution	16
10.4	Interpretation for political economy	16
10.5	Policy implications	16
10.6	Limitations	16
10.7	Takeaway	16

1 Big picture

- **Question.** Are political and redistributive preferences fixed, or can political regimes shape them? The paper asks whether living under East German Communism changed individual preferences about the role of the state in providing social insurance, redistribution, and financial security.
- **Historical experiment.** Postwar Germany was split into East and West for geopolitical reasons that were not chosen by ordinary Germans. From 1945 to 1990, East Germans lived under the German Democratic Republic's Communist system, while West Germans lived under a market-democratic system. Reunification in 1990 then placed both groups inside the same national institutions.
- **Main comparison.** The empirical design compares people who lived in the East before reunification with people who lived in the West, using the German Socio-Economic Panel and survey responses in 1997 and 2002.
- **Main outcome.** The main dependent variable equals one if the household head says that the state should be responsible for financial security in a given circumstance: unemployment, sickness, family, old age, or need for care.
- **Main finding.** Former East Germans are much more likely than West Germans to favor state responsibility. The East coefficient is positive across all five outcomes. Interpreted as marginal effects, the baseline estimates imply that East Germans are about 14.5 to 17 percentage points more likely to favor state intervention in 1997.
- **Convergence.** The East-year 2002 interaction is negative, meaning the gap narrows between 1997 and 2002. The estimated convergence speed implies that it may take about one to two generations for East and West preferences to become similar.
- **Exposure logic.** Older East Germans are more pro-state than younger East Germans, while older West Germans tend to be less pro-state. This age pattern supports an exposure interpretation: more years under Communism generate stronger pro-state attitudes.
- **Economic-benefit channel.** Because East Germany became poorer and received post-reunification transfers, the authors test whether East Germans favor redistribution merely because they benefit from transfers. Household and aggregate transfers explain part of the East effect, but a large East effect remains.
- **Migration and regional robustness.** East Germans who moved to the West remain more pro-state than West Germans, and the East effect is positive across East German states. This reduces concern that results are driven only by contemporary residence or one specific region.
- **Mechanism.** East Germans are more likely to believe that social conditions determine life chances. That belief predicts pro-state preferences, but controlling for it does not eliminate the East effect. East Germans are not simply more fatalistic about luck.
- **Economic takeaway.** Political regimes can shape preferences in a persistent way. Preferences for redistribution are not merely exogenous primitives; they can be produced by institutions, ideology, and lived experience.

2 Incremental contribution

- **A clean institutional-history setting for preference formation.** Earlier work documented differences in redistributive preferences across countries or between Eastern and Western Europe, but such comparisons mix institutions, culture, history, language, and economic conditions. This paper uses the East-West German split to isolate the effect of a political-economic regime inside one nation.
- **Moving from cross-country culture to within-country quasi-experiment.** By comparing East and West Germans after reunification, the paper avoids many confounds in cross-country studies. East

and West Germans share language, prewar national identity, and post-1990 political institutions, which makes the comparison more informative about regime exposure.

- **Panel evidence on convergence.** The paper does not simply compare two cross sections. It uses 1997 and 2002 survey waves, including a panel of respondents who answer in both years, to separate changing individual preferences from changing cohort composition.
- **Exposure-based evidence.** The age and cohort analysis turns the argument from a simple East-West comparison into a dose-response test: longer exposure to Communism is associated with stronger pro-state preferences.
- **Separating preference persistence from economic self-interest.** The paper explicitly tests whether the East effect is just a consequence of being poorer or receiving transfers. Household transfer and aggregate transfer controls reduce but do not eliminate the East effect.
- **Mechanism through beliefs about society and responsibility.** The paper links the preference for state intervention to beliefs about social conditions and individual responsibility. This connects political regime exposure to deeper beliefs about the causes of success and need.
- **Contribution to political economy.** The paper strengthens the argument that welfare-state preferences are endogenous to institutions and history. It helps explain why societies with similar current economic conditions may still disagree about redistribution.
- **Contribution to cultural economics.** The results show that political and economic systems can leave persistent cultural residues, but also that preferences can converge after institutional change.

3 Data and measurement

3.1 Historical setting

- Germany was divided after World War II into a Western democratic-market system and an Eastern Communist system.
- The East German regime controlled schools, media, political discourse, and much of economic life for about 45 years.
- Reunification in 1990 created a common post-treatment institutional environment: both East and West Germans lived under the same federal government, legal system, and social insurance framework.
- The key empirical variation is not whether respondents live in East or West at the survey date, but whether they lived in the East at the time of reunification.

Interpretation: This design treats exposure to the GDR regime as the treatment. The post-reunification period allows the authors to ask whether attitudes persist after the formal regime disappears.

3.2 Survey data and outcome variables

- The paper uses the German Socio-Economic Panel, focusing on questions asked in 1997 and 2002.
- The outcome variables capture preferences over who should be responsible for financial security in five situations: unemployment, sickness, family, old age, and requiring care.
- For each question, the dependent variable equals one if the respondent answers “only the state” or “mostly the state.”
- The alternative responses correspond to less state-centered responsibility, such as individuals, families, or private provision.

Interpretation: The outcome is not a direct vote or policy choice, but it is a clear stated preference for public social insurance and redistribution. The five outcomes allow the paper to test whether the East effect is broad or specific to one policy area.

3.3 Treatment and key controls

- **East.** The main treatment variable equals one if the respondent lived in East Germany in spring 1990, just before reunification.
- **Year02.** A dummy for the 2002 survey wave.
- **East $\times$ Year02.** The convergence term: a negative coefficient means East preferences become less pro-state relative to the West between 1997 and 2002.
- **Demographic controls.** Cubic age terms, household composition, income, education, sex, marital status, employment status, and occupation.
- **Other robustness controls.** Prussian-history dummies, household transfer status, aggregate regional transfers, current residence, state dummies, social-condition beliefs, and luck beliefs.

Interpretation: The controls address two classes of concerns: compositional differences between East and West, and post-reunification economic incentives to favor transfers.

3.4 Transfer and belief variables

- Household transfer receipt is measured through income sources such as unemployment support, pensions, training support, maternity benefits, and related transfers.
- Aggregate transfers measure regional fiscal flows to eastern states after reunification.
- Social-condition beliefs equal one if the respondent agrees that possibilities in life are determined by social conditions.
- Luck beliefs equal one if the respondent agrees that life achievements are mainly a matter of luck or fate.

Interpretation: These variables help distinguish ideology and preference formation from material self-interest and general fatalistic beliefs.

4 Models and empirical specifications

4.1 Baseline probit specification

For respondent i , outcome j , and survey year t , the baseline model can be written as:

$$Pr(y_{ijt} = 1) = \Phi(\alpha_j + \beta_j East_i + \gamma_j Year02_t + \delta_j(East_i \times Year02_t) + X'_{it}\Gamma_j).$$

- $y_{ijt} = 1$ if the respondent favors state responsibility for financial security in situation j .
- $East_i$ measures exposure to East German Communism.
- $Year02_t$ captures common changes between 1997 and 2002.
- $East_i \times Year02_t$ captures convergence or divergence of East relative to West.
- X_{it} contains demographic and socioeconomic controls.

Interpretation: The coefficient β_j captures the East-West preference gap in 1997. The coefficient δ_j is the speed of convergence between 1997 and 2002.

4.2 Age and cohort exposure specifications

The age-interaction specification is:

$$Pr(y_{ijt} = 1) = \Phi(\alpha_j + \beta_j East_i + \gamma_j Year02_t + \delta_j East_i \times Year02_t + \theta_j Age_i + \kappa_j East_i \times Age_i + X'_{it} \Gamma_j).$$

The cohort specification replaces the continuous age interaction with cohort dummies and East-cohort interactions:

$$Pr(y_{ijt} = 1) = \Phi\left(\alpha_j + \beta_j East_i + \gamma_j Year02_t + \delta_j East_i \times Year02_t + \sum_c \lambda_{jc} Cohort_{ic} + \sum_c \eta_{jc} (Cohort_{ic} \times East_i) + X'_{it} \Gamma_j\right).$$

Interpretation: If preferences are shaped by exposure, older East cohorts should show larger pro-state effects than younger East cohorts. This is what the paper finds.

4.3 Panel convergence specification

The authors reestimate the baseline model on respondents who answer the relevant questions in both 1997 and 2002. The same basic equation applies, but the sample is restricted to repeat respondents.

Interpretation: This separates actual preference change among individuals from changes caused by entry, exit, or cohort composition. The result implies that about two-thirds of observed convergence comes from actual preference change and about one-third from cohort replacement.

4.4 Household transfer and aggregate transfer specifications

The household transfer specification adds a predicted probability of receiving transfers:

$$Pr(y_{ijt} = 1) = \Phi\left(\dots + \rho_j \widehat{Transfer}_{it}\right),$$

where the predicted transfer variable comes from a first-stage bivariate probit.

The aggregate transfer specification adds state-level transfers:

$$Pr(y_{ijt} = 1) = \Phi(\dots + \tau_j GrossTransfers_{st}).$$

Interpretation: These specifications ask whether East Germans favor state intervention because they or their regions benefit financially from transfers. The answer is partly yes, but not completely.

4.5 Migration and regional specifications

The current-residence specification decomposes East Germans into those living in the East and those living in the West:

$$Pr(y_{ijt} = 1) = \Phi(\dots + \beta_1 East_i + \beta_2 (East_i \times LivingEast_{it}) + \dots).$$

The state specification replaces the single East dummy with separate dummies for East Berlin, Mecklenburg-Vorpommern, Brandenburg, Sachsen-Anhalt, Thuringen, and Sachsen.

Interpretation: These tests address concerns about migration, self-selection, current economic conditions, and regional heterogeneity.

4.6 Belief mechanism specifications

The belief-outcome specifications estimate whether East Germans differ in beliefs about social conditions and luck. The belief-control specifications add those beliefs to the baseline pro-state preference regressions.

Interpretation: Social-condition beliefs partly explain why East Germans favor state responsibility, but the direct East effect remains large. Luck beliefs do not explain the East effect.

5 Identification and empirical design

5.1 Core identification argument

The core identifying idea is that the East-West split of Germany after World War II created a long exposure to different regimes among people who were otherwise part of the same nation. West Germans provide a control group for East Germans. After reunification, both groups live under the same national institutions, so remaining differences can be interpreted as the legacy of regime exposure.

5.2 Why Germany is useful

- East and West Germans share language and broad prewar national history.
- The East-West border was externally imposed after World War II.
- Pre-1945 differences appear less severe than typical cross-country differences.
- After 1990, East and West are governed by the same political, legal, and social insurance institutions.

Interpretation: The design is much cleaner than comparing Eastern and Western European countries, where history, language, national identity, and institutions differ simultaneously.

5.3 Threats and responses

- **Migration selection.** People who disliked Communism may have left the East, leaving a more pro-state population behind. The paper discusses pre-1961 migration and uses current-residence tests to partially address this.
- **Economic self-interest.** East Germans became poorer and received transfers. The paper controls for household income, household transfer receipt, and state-level aggregate transfers.
- **Regional history.** The paper tests whether Prussian history drives results and finds that a Prussia dummy does not change the findings.
- **Survey-response validity.** The paper compares survey evidence with voting patterns and notes that correlations with income, employment, and education behave as expected.
- **Cohort composition.** The panel analysis separates individual preference change from cohort replacement.

Interpretation: The design is not a randomized experiment, but the paper systematically checks many alternative explanations.

5.4 What the design cannot fully prove

- It cannot perfectly rule out all prewar East-West preference differences.
- It cannot observe the preferences of those who migrated before the Berlin Wall or died before the survey period.
- It cannot fully separate indoctrination, economic adaptation, peer effects, family transmission, and experience with state institutions.
- The outcome measures are survey responses, not actual policy votes or tax choices, though the authors discuss consistency with voting evidence.

Interpretation: The paper is strongest as evidence of persistent regime-shaped preferences. It is less able to identify the exact micro-channel through which Communism changed attitudes.

6 Section-by-section study guide

- **Introduction.** Frames the central question: whether preferences are endogenous to political regimes. Establishes the East-West Germany setting and the headline result.
- **Section I: Theory.** Explains why people may favor social policy: direct self-interest, insurance motives, beliefs about fairness and luck, and ideological or cultural formation.
- **Section II: Background and data.** Describes German division, reunification, migration concerns, the survey data, and the construction of dependent variables.
- **Section III: Preferences for state intervention.** Presents the main East-West results, age/cohort exposure tests, convergence over time, transfers, migration, and regional robustness.
- **Section IV: Social conditions, effort, and luck.** Tests whether East Germans' pro-state preferences are tied to beliefs about social conditions or luck.
- **Conclusion.** Interprets the evidence as showing that regimes shape preferences and that convergence is slow.

7 Tables and figures

7.1 Table 1 – Basic Regressions and Table 2 – Regressions with Age Interacted with East

Read:

- Table 1 is the main result. The coefficient on East is positive and highly significant for all five outcomes: unemployed, sick, family, old, and requiring care.
- East coefficients range from 0.371 to 0.434 in the probit index, which the paper translates into roughly 14.5 to 17 percentage points higher probability of favoring state intervention in 1997.
- The East $\times$ year 2002 interaction is negative in all five columns and significant in four of five, showing convergence toward West German preferences.
- Table 2 replaces higher-order age controls with an East-age interaction to make the exposure pattern visible.
- In Table 2, the East-age interaction is positive and significant across all outcomes. Older East Germans are more pro-state relative to younger East Germans.

Detailed interpretation: Table 1 establishes the basic empirical fact: former East Germans have stronger preferences for state responsibility even after controlling for income, education, occupation, family structure, and other observables. The negative interaction with 2002 matters because it shows the effect is not fixed forever; preferences slowly converge after reunification. Table 2 strengthens the interpretation that the East effect is exposure-based rather than just a common East identity. In West Germany, age tends to reduce pro-state preferences; in East Germany, years of life under Communism more than offset this pattern.

Economic message: Preferences over redistribution are persistent but not immutable. The regime effect is large in 1997 and begins to erode after reunification.

TABLE 1—BASIC REGRESSIONS

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.432*** (0.030)	0.434*** (0.028)	0.420*** (0.028)	0.426*** (0.028)	0.371*** (0.028)
Year02	0.064*** (0.023)	0.165*** (0.023)	-0.012 (0.024)	-0.033 (0.023)	0.103*** (0.023)
East * year02	-0.123*** (0.039)	-0.161*** (0.036)	-0.060* (0.036)	-0.143*** (0.036)	-0.176*** (0.036)
Age	-0.026* (0.015)	-0.005 (0.015)	-0.009 (0.015)	-0.019 (0.014)	-0.003 (0.014)
Age squared (*10 ³)	0.614** (0.296)	0.150 (0.289)	0.255 (0.292)	0.434 (0.286)	-0.042 (0.286)
Age cubed (*10 ³)	-0.406** (0.185)	-0.095 (0.181)	-0.193 (0.183)	-0.279 (0.197)	0.066 (0.179)
College	-0.203*** (0.064)	-0.258*** (0.061)	-0.141** (0.062)	-0.277*** (0.061)	-0.122** (0.060)
Vocational training	-0.096* (0.057)	-0.140*** (0.054)	-0.136** (0.055)	-0.163*** (0.054)	-0.087 (0.054)
Secondary schooling	-0.101* (0.059)	-0.071 (0.056)	-0.103* (0.057)	-0.068 (0.056)	-0.058 (0.056)
Intermediate schooling	-0.103 (0.069)	-0.152** (0.066)	-0.147** (0.068)	-0.155** (0.065)	-0.052 (0.065)
Male	-0.083*** (0.023)	-0.072*** (0.022)	-0.003 (0.022)	-0.020 (0.021)	0.020 (0.021)
Number of children	0.034** (0.014)	0.034*** (0.012)	0.064*** (0.012)	0.038*** (0.012)	0.010 (0.012)
Number of adults	0.022* (0.013)	0.043*** (0.012)	0.022** (0.011)	0.037*** (0.011)	0.007 (0.012)
Married	0.069** (0.039)	0.106*** (0.037)	0.026 (0.036)	0.045 (0.036)	0.109*** (0.036)
Divorced	0.089** (0.052)	0.048 (0.051)	0.042 (0.050)	0.047 (0.050)	0.107** (0.049)
Married but separated	0.011 (0.087)	-0.028 (0.083)	-0.042 (0.083)	0.082 (0.084)	0.161* (0.084)
Widowed	-0.050 (0.060)	0.027 (0.058)	-0.043 (0.059)	-0.038 (0.057)	0.075 (0.057)
Log (household income)	-0.156*** (0.027)	-0.264*** (0.025)	-0.135*** (0.025)	-0.224*** (0.025)	-0.148*** (0.025)
Civil servant	-0.122** (0.057)	-0.222*** (0.059)	0.085 (0.059)	-0.060 (0.059)	-0.113** (0.055)
Self-employed	-0.317*** (0.052)	-0.403*** (0.053)	-0.332*** (0.053)	-0.450*** (0.053)	-0.306*** (0.051)
White-collar worker	-0.030 (0.033)	-0.044 (0.033)	0.011 (0.032)	-0.089*** (0.031)	-0.101*** (0.031)
Unemployed	0.161*** (0.051)	0.005 (0.047)	0.142*** (0.047)	0.005 (0.046)	-0.034 (0.046)
Retired	-0.075 (0.059)	-0.090 (0.057)	0.149*** (0.058)	0.019 (0.056)	0.011 (0.056)
Maternity	0.015 (0.080)	-0.051 (0.077)	0.119 (0.075)	-0.197*** (0.077)	-0.081 (0.075)
Nonworking	-0.027 (0.043)	-0.022 (0.042)	0.158*** (0.042)	-0.012 (0.041)	0.021 (0.041)
Training	-0.049 (0.066)	-0.021 (0.063)	-0.115* (0.065)	-0.086 (0.063)	-0.021 (0.063)
Other nonworking	-0.000 (0.052)	-0.093* (0.049)	0.062 (0.049)	-0.046 (0.049)	-0.097** (0.049)
Constant	1.994*** (0.303)	1.852*** (0.293)	0.728** (0.293)	1.859*** (0.291)	1.178*** (0.287)
Observations	18,489	18,487	18,485	18,516	18,514
Log likelihood	-11,060	-12,192	-11,954	-12,250	-12,568

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Omitted categories are fewer than nine years of schooling, female, single, blue-collar worker, and employed.

TABLE 2—REGRESSIONS WITH AGE INTERACTED WITH EAST

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.029 (0.064)	-0.034 (0.060)	-0.032 (0.060)	-0.226*** (0.060)	0.002 (0.059)
Year02	0.070*** (0.023)	0.172*** (0.023)	-0.006 (0.024)	-0.024 (0.023)	0.108*** (0.023)
East * year02	-0.139*** (0.039)	-0.176*** (0.036)	-0.074** (0.037)	-0.168*** (0.036)	-0.189*** (0.036)
Age	-0.000 (0.001)	-0.002 (0.001)	-0.003** (0.001)	-0.003*** (0.001)	-0.005*** (0.001)
East * age	0.009*** (0.001)	0.011*** (0.001)	0.010*** (0.001)	0.015*** (0.001)	0.008*** (0.001)
Observations	18,489	18,487	18,485	18,516	18,514
Log likelihood	-11,034	-12,148	-11,914	-12,165	-12,541

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls are number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

7.2 Figure 1 – Cohort Effects and Table 3 – Regressions with Cohorts Interacted with East

Read:

- Figure 1 plots the implied percentage-point East-West gap by birth cohort and policy outcome.
- The youngest East cohort, born after 1975, is only modestly more pro-state than the same West cohort.
- Older East cohorts show much larger gaps. For some outcomes, the East-West difference reaches around 40 to 50 percentage points.
- Table 3 shows the corresponding regression estimates using cohort dummies and cohort-East interactions.
- The East-cohort interactions are largest for cohorts that spent more of their adult lives under Communism.

Detailed interpretation: Figure 1 is the paper's most intuitive visual evidence. If the East effect were merely a post-1990 economic effect, there would be little reason for older East cohorts to have much larger

gaps than younger East cohorts. Instead, the graph shows a dose-response pattern. The longer a cohort lived under the Communist regime, the larger the pro-state preference gap. Table 3 provides the regression version of the same evidence and controls for standard demographics.

Economic message: Political regimes shape beliefs gradually through exposure. The cohort gradient is central because it turns a cross-sectional East-West difference into evidence of regime-duration effects.

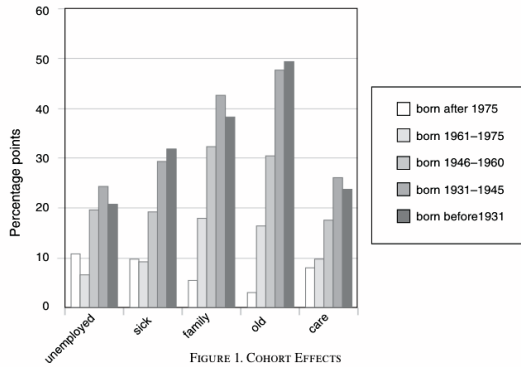


Figure 1 indicates by how many percentage points an East German of a certain birth cohort group is more intervention than a West German of the same birth cohort group (assuming all other characteristics are the same). The dependent variable is defined as favoring state intervention if the head responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups.

(a) Figure 1: Cohort Effects

TABLE 3—REGRESSIONS WITH COHORTS INTERACTED WITH EAST

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.318*** (0.068)	0.246*** (0.063)	0.147** (0.064)	0.081 (0.064)	0.205*** (0.064)
Year02	0.066** (0.026)	0.162*** (0.026)	-0.045* (0.027)	-0.066** (0.026)	0.105*** (0.025)
East * year02	-0.111*** (0.039)	-0.137*** (0.037)	-0.033 (0.037)	-0.107*** (0.036)	-0.156*** (0.036)
Born 1961-1975	0.014 (0.074)	0.018 (0.070)	-0.204*** (0.072)	-0.215*** (0.072)	-0.027 (0.070)
Born 1946-1960	-0.092 (0.100)	-0.061 (0.095)	-0.431*** (0.097)	-0.391*** (0.096)	-0.086 (0.094)
Born 1931-1945	-0.064 (0.127)	-0.105 (0.122)	-0.488*** (0.124)	-0.517*** (0.123)	-0.092 (0.120)
Born before 1931	-0.008 (0.155)	-0.104 (0.149)	-0.420*** (0.151)	-0.467*** (0.151)	-0.006 (0.146)
Born 1961-1975 * east	-0.106 (0.075)	-0.007 (0.071)	0.120* (0.071)	0.128* (0.072)	0.012 (0.071)
Born 1946-1960 * east	0.169*** (0.077)	0.180*** (0.072)	0.286*** (0.073)	0.314*** (0.073)	0.152*** (0.073)
Born 1931-1945 * east	0.356*** (0.081)	0.392*** (0.075)	0.501*** (0.076)	0.643*** (0.076)	0.365*** (0.076)
Born before 1931 * east	0.303*** (0.099)	0.458*** (0.091)	0.454*** (0.090)	0.754*** (0.091)	0.391*** (0.090)
Observations	18,489	18,487	18,485	18,516	18,514
Log likelihood	-11,021	-12,152	-11,905	-12,162	-12,534

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent. ** Significant at, or below, 5 percent. * Significant at, or below, 10 percent.

(b) Table 3: Cohorts interacted with East

7.3 Table 4 – Regressions with Individuals Who Answer in Both 1997 and 2002

Read:

- Table 4 restricts the sample to individuals who answered the relevant questions in both 1997 and 2002.
- The East coefficient remains positive and highly significant.
- The East $\times$ year 2002 coefficient remains negative in all five columns, although it is smaller than in the full sample.
- The authors interpret the smaller interaction as evidence that part of convergence is due to changing cohort composition and part is due to actual preference change by individuals.

Detailed interpretation: This table is important because the baseline convergence result could come from sample composition: older East Germans may leave the sample, younger people enter, or different people respond across waves. Restricting the sample to repeat respondents allows the authors to observe preference change within a more stable set of individuals. The interaction remains negative, so convergence is not only cohort turnover. But because the coefficient is smaller than in Table 1, cohort replacement also matters.

Economic message: Regime-shaped preferences can change after regime change, but the process is slow and partly demographic.

TABLE 4—REGRESSIONS WITH INDIVIDUALS WHO ANSWER IN BOTH 1997 AND 2002

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.446*** (0.035)	0.394*** (0.033)	0.407*** (0.033)	0.391*** (0.033)	0.333*** (0.033)
Year02	0.052** (0.026)	0.164*** (0.026)	-0.032 (0.027)	-0.048* (0.026)	0.095*** (0.025)
East * year02	-0.124*** (0.043)	-0.109*** (0.040)	-0.022 (0.040)	-0.067* (0.039)	-0.130*** (0.040)
Observations	14,110	14,110	14,110	14,110	14,110
Log likelihood	-8,414	-9,321	-9,131	-9,323	-9,576

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

effects. in Table 4 we report results from the

C. The Effect of Communism:

7.4 Table 5 – Regressions with Probability of Receiving a Transfer and Table 6 – Regressions with Aggregate Transfers

Read:

- Table 5 includes the predicted probability that the household receives a government transfer.
- Transfer receipt strongly predicts support for state intervention, as expected from self-interest.
- East coefficients remain large and significant after controlling for transfer probability.
- Table 6 controls for aggregate transfers to the respondent's state.
- Aggregate transfers are positive and significant. East coefficients fall, especially for unemployment, but remain statistically significant.
- The paper interprets aggregate transfers as explaining roughly one fourth of the East effect on average.

Detailed interpretation: Tables 5 and 6 are designed to separate preference formation from material self-interest. If East Germans support state intervention only because they personally receive transfers or live in transfer-dependent regions, the East coefficient should disappear after these controls. It does not. Household transfers and regional transfers matter, but a residual East effect remains. The key interpretation is that Communism affected preferences beyond current economic incentives.

Economic message: Redistribution preferences have both pocketbook and regime-exposure components. The paper does not deny self-interest; it shows that self-interest is not enough.

TABLE 5—REGRESSIONS WITH PROBABILITY OF RECEIVING A TRANSFER

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.453*** (0.031)	0.487*** (0.029)	0.398*** (0.029)	0.462*** (0.029)	0.394*** (0.029)
Year02	0.052** (0.023)	0.141*** (0.023)	-0.028 (0.024)	-0.061*** (0.023)	0.087*** (0.023)
East * year02	-0.133*** (0.039)	-0.174*** (0.036)	-0.074** (0.036)	-0.148*** (0.036)	-0.182*** (0.036)
Probability of receiving transfer	0.240*** (0.054)	0.176*** (0.052)	0.345*** (0.050)	0.175*** (0.051)	0.160*** (0.050)
Observations	18,139	18,138	18,138	18,165	18,164
Log likelihood	-18,902	-20,079	-19,872	-20,129	-20,401

Notes: The table shows the second-stage results of bivariate probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls in the second-stage regressions are cubic function in age, number of children and number of adults in household, and dummies for education, sex, and marital status. Additionally included in the (not reported) first-stage regressions predicting the probability of receiving a transfer are dummies for employment status and occupation, as well as wage income, income from self-employment, income from additional employment, and payments from persons not living in household. Income variables are in logs.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

TABLE 6—REGRESSIONS WITH AGGREGATE TRANSFERS

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.269*** (0.044)	0.334*** (0.042)	0.349*** (0.042)	0.345*** (0.042)	0.271*** (0.042)
Year02	0.039* (0.024)	0.150*** (0.024)	-0.023 (0.024)	-0.045* (0.024)	0.088*** (0.023)
East * year02	-0.144*** (0.039)	-0.173*** (0.036)	-0.069* (0.036)	-0.154*** (0.036)	-0.188*** (0.036)
Gross transfers (*10 ³)	0.029*** (0.006)	0.017*** (0.005)	0.012** (0.005)	0.014*** (0.005)	0.017*** (0.005)
Observations	18,488	18,486	18,484	18,515	18,513
Log likelihood	-11,045	-12,185	-11,950	-12,244	-12,561

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

(a) Table 5: Probability of receiving a transfer

(b) Table 6: Aggregate transfers

7.5 Table 7 – Regressions with Current Residence and Table 8 – Regressions with East Split into States

Read:

- Table 7 separates former East Germans who currently live in the East from former East Germans who moved to the West.
- East Germans living in the West remain more pro-state than West Germans, although in some outcomes the effect is weaker.
- East Germans living in the East are strongly pro-state across the outcomes.
- Table 8 replaces the single East dummy with separate dummies for East Berlin and the five eastern states.
- The East-state coefficients are positive and significant across states, showing that the effect is broad rather than concentrated in one region.

Detailed interpretation: Table 7 addresses migration and current-environment concerns. If the East effect were simply due to currently living in poorer eastern regions, former East Germans who moved west should look like West Germans. They do not. Table 8 addresses the possibility that the result is driven by one specific state, such as Berlin or a particularly poor region. The broad positivity of the state coefficients supports the interpretation of a general East German regime effect.

Economic message: The East effect is not merely a current-location effect or a one-region artifact. It is associated with prior regime exposure.

TABLE 7—REGRESSIONS WITH CURRENT RESIDENCE

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.076 (0.090)	0.204** (0.089)	0.221** (0.089)	0.202** (0.088)	0.130 (0.088)
East living in East	0.383*** (0.092)	0.246*** (0.090)	0.212** (0.090)	0.239*** (0.089)	0.258*** (0.089)
Year02	0.064*** (0.023)	0.165*** (0.023)	-0.013 (0.024)	-0.033 (0.023)	0.103*** (0.023)
East * year02	0.160 (0.117)	-0.070 (0.111)	0.100 (0.114)	0.007 (0.107)	-0.085 (0.113)
(East living in East) * year02	-0.302** (0.119)	-0.092 (0.113)	-0.169 (0.114)	-0.157 (0.108)	-0.092 (0.114)
Observations	18,489	18,487	18,485	18,516	18,514
Log likelihood	-11.052	-12.187	-11.951	-12.246	-12.562

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.
** Significant at, or below, 5 percent.
* Significant at, or below, 10 percent.

(a) Table 7: Current residence

TABLE 8—REGRESSIONS WITH EAST SPLIT INTO STATES

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East Berlin	0.442*** (0.091)	0.537*** (0.083)	0.477*** (0.082)	0.375*** (0.082)	0.449*** (0.083)
Mecklenburg— Vorpommern	0.265*** (0.068)	0.290*** (0.064)	0.253*** (0.064)	0.300*** (0.063)	0.390*** (0.064)
Brandenburg	0.399*** (0.062)	0.341*** (0.057)	0.416*** (0.057)	0.457*** (0.057)	0.371*** (0.057)
Sachsen—Anhalt	0.503*** (0.059)	0.519*** (0.052)	0.452*** (0.052)	0.520*** (0.052)	0.446*** (0.052)
Thüringen	0.553*** (0.060)	0.407*** (0.053)	0.405*** (0.052)	0.416*** (0.052)	0.311*** (0.052)
Sachsen	0.416*** (0.047)	0.475*** (0.043)	0.465*** (0.042)	0.428*** (0.042)	0.347*** (0.042)
Year02	0.067*** (0.023)	0.162*** (0.023)	-0.015 (0.024)	-0.037 (0.023)	0.097*** (0.023)
East Berlin * year02	-0.048 (0.127)	-0.376*** (0.107)	0.020 (0.109)	-0.026 (0.109)	-0.137 (0.110)
Mecklenburg— Vorpommern * year02	0.086 (0.099)	-0.005 (0.092)	0.066 (0.089)	0.010 (0.088)	-0.178** (0.090)
Brandenburg * year02	-0.023 (0.085)	-0.029 (0.075)	0.025 (0.072)	-0.134* (0.075)	-0.229*** (0.075)
Sachsen—Anhalt * year02	-0.130* (0.079)	-0.226*** (0.069)	-0.110 (0.071)	-0.213*** (0.068)	-0.220*** (0.070)
Thüringen * year02	-0.457*** (0.075)	-0.138** (0.070)	-0.096 (0.068)	-0.123* (0.070)	-0.010 (0.067)
Sachsen * year02	-0.063 (0.061)	-0.200*** (0.056)	-0.106* (0.055)	-0.185*** (0.054)	-0.207*** (0.056)
Observations	18,286	18,283	18,283	18,312	18,311
Log likelihood	-10.919	-12.042	-11.812	-12.098	-12.414

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. The states refer to the state of residence in the spring of 1990. Included as controls are cubic function in age, num-

(b) Table 8: East split into states

7.6 Table 9 – Regressions with Social Conditions as the Dependent Variable and Table 10 – Social Conditions as a Control Variable

Read:

- Table 9 asks whether East Germans are more likely to believe that life chances are determined by social conditions.
- The East coefficient in the basic regression is positive and significant: East Germans are more likely to hold this belief.

- The specification with age $\times$ East shows that older East Germans are especially likely to emphasize social conditions.
- Table 10 adds social-condition beliefs to the baseline pro-state preference regressions.
- Social-condition beliefs strongly predict support for state responsibility, but East coefficients remain large and significant.

Detailed interpretation: This is the main mechanism analysis. Communist ideology emphasized the role of social conditions and collective responsibility. If East Germans internalized this view, it should predict pro-state preferences. Tables 9 and 10 support this mechanism, but also show that it is not the whole story. The East coefficient remains after controlling for social-condition beliefs, suggesting additional channels such as habit formation, institutional experience, or broader norms about the state.

Economic message: Beliefs about social causation are a channel from regime exposure to redistributive preferences, but they do not fully exhaust the regime effect.

TABLE 9—REGRESSIONS WITH SOCIAL CONDITIONS AS THE DEPENDENT VARIABLE

Dependent variable: Social conditions define possibilities	Basic regression	Regression including age $\times$ east interaction
East	0.292*** (0.032)	-0.186** (0.085)
Age $\times$ east		0.011*** (0.002)
Age	0.008 (0.022)	0.002 (0.002)
Age squared ($\times 10^5$)	-0.028 (0.443)	
Age cubed ($\times 10^5$)	-0.005 (0.285)	
College	-0.097 (0.097)	-0.116 (0.093)
Vocational training	-0.073 (0.089)	-0.077 (0.085)
Secondary schooling	-0.030 (0.091)	-0.024 (0.089)
Intermediate schooling	-0.033 (0.104)	-0.038 (0.103)
Male	-0.145*** (0.031)	-0.145*** (0.031)
Number of children	0.018 (0.017)	0.022 (0.017)
Number of adults	0.047*** (0.015)	0.048*** (0.015)
Married	-0.035 (0.051)	-0.039 (0.047)
Divorced	0.037 (0.072)	0.036 (0.069)
Married but separated	0.009 (0.125)	0.014 (0.124)
Widowed	0.127 (0.084)	0.128 (0.083)
Log (household income)	-0.140*** (0.037)	-0.135*** (0.037)
Civil servant	-0.181** (0.076)	-0.178** (0.076)
Self-employed	-0.266*** (0.070)	-0.267*** (0.069)
White-collar worker	-0.027 (0.044)	-0.032 (0.044)
Unemployed	0.159** (0.068)	0.152** (0.068)
Retired	-0.121 (0.086)	-0.126* (0.073)
Maternity	0.028 (0.112)	0.018 (0.112)
Nonworking	0.064 (0.059)	0.051 (0.059)
Training	0.049 (0.095)	0.049 (0.093)
Other nonworking	-0.161** (0.071)	-0.160** (0.070)
Constant	1.201*** (0.439)	1.390*** (0.322)
Observations	8,580	8,580
Log likelihood	-5,412	-5,394

Note: Probit regressions. The dependent variable is an indicator variable that takes the value of one if the household "totally agrees" or "agrees slightly" with the statement "The possibilities in my life are determined by the social conditions." Omitted categories are fewer than nine years of schooling, female, single, blue-collar worker, and employed.

TABLE 10—REGRESSIONS WITH SOCIAL CONDITIONS AS A CONTROL VARIABLE

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.421*** (0.032)	0.423*** (0.030)	0.412*** (0.030)	0.406*** (0.030)	0.334*** (0.030)
Year02	0.050** (0.025)	0.154*** (0.024)	-0.026 (0.026)	-0.041** (0.025)	0.093*** (0.024)
East $\times$ year02	-0.131*** (0.041)	-0.145*** (0.038)	-0.051 (0.038)	-0.108*** (0.038)	-0.136*** (0.038)
Social conditions	0.075*** (0.024)	0.087*** (0.023)	0.089*** (0.023)	0.087*** (0.023)	0.073*** (0.023)
Observations	16,197	16,202	16,199	16,224	16,222
Log likelihood	-9,659	-10,682	-10,484	-10,727	-11,010

Notes: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. "Social conditions" is an indicator variable that takes the value one if the household "totally agrees" or "agrees slightly" with the statement "The possibilities in my life are determined by the social conditions." Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

7.7 Table 11 – Regressions with Luck as the Dependent Variable and Table 12 – Luck as a Control Variable

Read:

- Table 11 asks whether East Germans believe more strongly that life outcomes are determined by luck or fate.
- The East coefficient is negative, not positive. East Germans are less likely than West Germans to say life achievements are determined by luck.

- Table 12 adds luck beliefs to the baseline pro-state preference regressions.
- Luck beliefs predict pro-state attitudes, but including the luck variable does not reduce the East effect.

Detailed interpretation: These tables are important because a common theory of redistribution says that people favor redistribution if they believe success depends on luck rather than effort. The authors find that this channel does not explain East German preferences. East Germans are not more pro-state because they are more fatalistic about luck. If anything, they are less luck-oriented. Their pro-state preferences are better linked to social-condition beliefs and regime exposure.

Economic message: The East effect is not simply a belief that luck dominates effort. It is more specifically connected to the perceived role of society and the state.

TABLE 11—REGRESSIONS WITH LUCK AS THE DEPENDENT VARIABLE

Dependent variable: Life achievements determined by luck	Basic regression	Regression including age * east interaction
East	-0.273*** (0.031)	-0.402*** (0.081)
Age * east		0.003* (0.002)
Age	-0.109*** (0.020)	0.011*** (0.002)
Age squared (*10 ³)	2.409*** (0.401)	
Age cubed (*10 ³)	-1.460*** (0.251)	
College	-0.864*** (0.094)	-1.009*** (0.091)
Vocational training	-0.223*** (0.084)	-0.359*** (0.080)
Secondary schooling	-0.134 (0.086)	-0.230*** (0.084)
Intermediate schooling	-0.186* (0.097)	-0.227** (0.097)
Male	-0.149*** (0.030)	-0.143*** (0.030)
Number of children	0.032* (0.016)	0.015 (0.016)
Number of adults	0.068*** (0.014)	0.074*** (0.014)
Married	0.037 (0.050)	-0.045 (0.046)
Divorced	0.075 (0.069)	-0.016 (0.066)
Married but separated	0.182 (0.117)	0.103 (0.115)
Widowed	0.195** (0.078)	0.102 (0.076)
Log (household income)	-0.406*** (0.036)	-0.403*** (0.036)
Civil servant	-0.357*** (0.085)	-0.374*** (0.085)
Self-employed	-0.145** (0.070)	-0.166** (0.070)
White-collar worker	-0.173*** (0.043)	-0.197*** (0.043)
Unemployed	-0.015 (0.062)	-0.019 (0.062)
Retired	-0.079 (0.080)	-0.035 (0.068)
Maternity	-0.287** (0.112)	-0.278** (0.112)
Nonworking	-0.056 (0.055)	-0.016 (0.054)
Training	-0.370*** (0.092)	-0.263*** (0.090)
Other nonworking	-0.374*** (0.070)	-0.314*** (0.069)
Constant	4.586*** (0.419)	2.972*** (0.311)
Observations	9,753	9,753
Log likelihood	-5,700	-5,717

Note: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household "totally agrees" or "agrees slightly" with the statements "No one can escape their fate, everything in life happens as it must" or "What one achieves in life is mainly a question of luck or fate." Omitted categories are fewer than nine years of schooling, female, single, blue-collar worker, and employed.

TABLE 12—REGRESSIONS WITH LUCK AS A CONTROL VARIABLE

Dependent variable: Responsibility for financial security ...	... when unemployed	... when sick	... of the family	... when old	... when requiring care
East	0.432*** (0.030)	0.442*** (0.029)	0.430*** (0.028)	0.435*** (0.028)	0.375*** (0.028)
Year02	0.061*** (0.023)	0.160*** (0.024)	-0.022 (0.025)	-0.039 (0.024)	0.102*** (0.023)
East * year02	-0.134*** (0.040)	-0.142*** (0.037)	-0.046 (0.037)	-0.119*** (0.037)	-0.157*** (0.037)
Luck	0.038 (0.024)	0.135*** (0.023)	0.077*** (0.023)	0.114*** (0.023)	0.067*** (0.023)
Observations	17,532	17,535	17,530	17,559	17,558
Log likelihood	-10,510	-11,540	-11,331	-11,600	-11,906

Note: Probit regressions. The dependent variable is an indicator variable that takes the value one if the household responds "only the state" or "mostly the state" to the question of who should be responsible for the financial security of different groups. "Luck" is an indicator variable that takes the value one if the household "totally agrees" or "agrees slightly" with the statements "No one can escape their fate, everything in life happens as it must" or "What one achieves in life is mainly a question of luck or fate." Included as controls are cubic function in age, number of children and number of adults in household, logarithm of household income, and dummies for education, sex, marital status, employment status, and occupation.

*** Significant at, or below, 1 percent.

** Significant at, or below, 5 percent.

* Significant at, or below, 10 percent.

8 Result map

- **Main East effect:** East Germans are more pro-state across all five social-policy domains.
- **Convergence:** The East-West gap shrinks between 1997 and 2002, but does not disappear.
- **Exposure gradient:** Older East cohorts show larger pro-state differences, consistent with longer regime exposure.
- **Panel convergence:** Repeat respondents show actual preference convergence, not only cohort turnover.
- **Transfer controls:** Personal and regional transfer exposure explains part of the East effect, but a large East coefficient remains.
- **Migration:** East Germans living in the West remain more pro-state than West Germans.

- **Regional homogeneity:** The East effect is positive across eastern states.
- **Social-condition mechanism:** East Germans are more likely to attribute life possibilities to social conditions; this belief predicts pro-state preferences.
- **Luck mechanism rejected:** East Germans are not more pro-state because they are more fatalistic about luck.

9 Short summary

- The paper asks whether political regimes can shape preferences.
- Germany's division and reunification provide a unique setting to compare people with different regime exposure inside one country.
- The main outcome is whether respondents say the state should be responsible for financial security in various social-policy situations.
- Former East Germans are much more likely than West Germans to favor state responsibility.
- The difference is large and statistically robust across five policy domains.
- The East-West gap declines between 1997 and 2002, implying slow convergence.
- Older East Germans are more pro-state than younger East Germans, consistent with longer exposure to Communism.
- Panel evidence suggests both individual preference change and cohort turnover contribute to convergence.
- Household and regional transfers explain part of the East effect, but not all of it.
- Migration and state-level robustness exercises show the effect is not purely current residence or one region.
- East Germans are more likely to believe social conditions determine life chances, and this belief predicts pro-state preferences.
- Luck beliefs do not explain the East effect.
- The central conclusion is that institutions and regimes can have persistent effects on preferences.

10 Conclusion

10.1 Core conclusion

Alesina and Fuchs-Schundeln show that preferences for state intervention are endogenous to political regimes. Former East Germans, after 45 years of Communism, are substantially more pro-state than comparable West Germans. The gap persists after reunification but gradually declines.

10.2 Economic intuition

The intuition is that political regimes affect people not only through constraints and incentives, but also through beliefs, habits, ideology, and expectations about what the state should do. A regime that provides jobs, housing, social insurance, education, and public messaging through the state can make state responsibility feel natural. Even after the regime disappears, these beliefs can persist.

10.3 Incremental contribution

The paper's key contribution is to turn a broad question about culture and preferences into an empirical exercise with a credible historical comparison. Rather than comparing different countries, it compares East and West Germans after reunification. It adds exposure gradients, panel convergence, transfer controls, migration checks, regional checks, and belief-mechanism tests. This makes the argument much stronger than a simple East-West average difference.

10.4 Interpretation for political economy

The findings imply that redistributive preferences are partly produced by institutions. Therefore, policy preferences are not fixed inputs into political equilibrium. They can be shaped by past policy regimes, and those preferences can then influence future political demand for welfare states.

10.5 Policy implications

The paper does not argue that preferences should be engineered by governments. But it does imply that institutional reforms may have slow-moving cultural consequences. When a society transitions from socialism to capitalism, or from heavy state intervention to more market-based provision, political support for the new system may lag because preferences adapt slowly.

10.6 Limitations

The study cannot perfectly isolate indoctrination from habit formation, social learning, economic experience, family transmission, or self-selection through migration. The outcomes are survey measures, and prewar regional differences cannot be fully ruled out. Still, the combination of tests makes the regime-exposure interpretation persuasive.

10.7 Takeaway

The main takeaway is that political regimes leave cultural and preference legacies. East Germans became less pro-state after reunification, but convergence is slow. Preferences for redistribution are shaped by history, not only by current income and current economic incentives.